

INTEGRITY RECORDS

What to Look Out For Before Signing a Music Contract

A plain-language guide for the working artist

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1. Why This Guide Exists

"The simple believe anything, but the prudent give thought to their steps." — Proverbs 14:15

Every year, gifted artists sign away rights to their own music without fully understanding what they're agreeing to. Not because they're careless, but because record contracts are written in dense legal language designed to be skimmed, not studied. This guide exists to slow you down long enough to actually read the fine print, ask the right questions, and walk into any negotiation with your eyes open.

This isn't about distrust of every label or manager. Most are honest. But the artists who protect themselves best are the ones who understood their contracts before they signed them, not after.

2. Understanding Master Rights vs. Publishing Rights

"Where there is no counsel, the people fall; but in the multitude of counselors there is safety." — Proverbs 11:14

These are two separate ownership streams, and contracts often blur them on purpose.

Master rights cover the actual recording — the specific audio file. Whoever owns the master controls how that recording is licensed, sold, and used forever.

Publishing rights cover the underlying composition — the melody and lyrics — separate from any one recording of it.

A contract can quietly ask for both in the same paragraph. Always know which one (or both) you're being asked to sign away, and for how long.

3. Royalty Splits: What's Fair, What's Not

Royalty percentages vary widely, and there's no single 'correct' number — but there are norms worth knowing so you can recognize when an offer is far outside them.

Deal Type	Typical Artist Royalty
Major label, new artist	12% - 20%
Independent label	20% - 50%
Distribution deal (no label)	70% - 100%

These are general ranges, not guarantees — every deal is different. The point isn't to memorize numbers, but to notice when an offer sits far below industry norms without a clear reason why.

4. The Advance Trap

"Do not be one who shakes hands in pledge or puts up security for debts." — Proverbs 22:26

An advance can feel like a windfall, but it's a loan, not a gift. It's paid back out of your own future royalties before you see another dollar. A large advance with an unclear recoupment structure can leave an artist technically 'earning' for years while never actually being paid.

Before accepting an advance, ask exactly what expenses it will be recouped against, and get that answer in writing.

5. Recoupment: The Fine Print That Follows You for Years

Recoupment clauses determine which costs come out of your earnings before you're paid anything. Watch for contracts that quietly fold in expenses beyond the advance itself:

- Marketing and promotion costs charged against your royalties
- Music video production charged as a recoupable expense
- Tour support that must be paid back from your own share
- Cross-collateralization — where earnings from one project are used to cover losses on another

None of these are automatically dishonest, but each one should be spelled out clearly, not buried in a cross-reference to another section.

6. Term Length and Option Periods

Many contracts run for an initial period (often one album cycle) with the label holding 'options' to extend for several more albums — options the label can exercise, but you generally cannot decline without breaching the deal. Know exactly how many albums you could be committed to before you sign a single page.

7. Exclusivity Clauses

Exclusivity language can restrict who you're allowed to record or perform with, sometimes extending to side projects, features, or even your own future solo work under a different name. Read exclusivity clauses as though they apply to everything you might want to create in the next five years, not just the project in front of you.

8. Termination and Exit Clauses

Ask what happens if the relationship doesn't work out — for either side. A contract with no clear exit path, or one where only the label can terminate, is a sign to slow down and negotiate further before signing.

9. Red Flags Checklist

- I understand exactly what's recoupable and what isn't.
- I know how many albums/years I could be bound to, including options.
- I've had an entertainment attorney review this, not just a friend or family member.
- The royalty percentage was explained to me in plain numbers, not just percentages.
- I've confirmed there's a clear exit or reversion clause.
- I haven't been pressured into signing faster than I'm comfortable with.
- I've prayed over this decision, not just negotiated it.

10. A Closing Word

"Commit to the Lord whatever you do, and He will establish your plans." — Proverbs 16:3

Your gift was never meant to be exploited. It was given to you for a purpose, and stewarding it well means protecting it — not out of fear, but out of wisdom. Take your time. Ask hard questions. Bring in trusted counsel. And walk into every opportunity, whether you sign it or walk away from it, with your integrity intact.

Integrity Records was founded to give Christian artists a place where honesty comes before profit, and where every artist is treated the way we'd want to be treated ourselves. Thank you for trusting us with a part of your journey.